



Cultural and language skills as resources for boundary spanning within the MNC

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Abstract

We examine the role of cultural and language skills as resources for individuals' boundary spanning ability in multinational corporations. Our combined qualitative and quantitative analysis shows that cultural and language skills influence the extent to which individual boundary spanners perform four functions: exchanging, linking, facilitating, and intervening. Boundary spanners with both cultural and language skills perform more functions than those with only cultural skills, and language skills are critical for performing the most demanding functions. Key boundary spanners have properties that potentially make them not only valuable organizational human capital, but also rare and difficult to imitate. Theoretical and practical implications are discussed.

Journal of International Business Studies (2014) 45, 886–905. doi:10.1057/jibs.2014.7

Keywords: language skills; cultural skills; boundary spanners; multinational corporations (MNCs); language (language design, silent language, translation)

INTRODUCTION

We examine the role of cultural and language skills as resources for the boundary spanning ability of individual employees in multinational corporations (MNCs). MNCs are characterized by geographical, cultural, and linguistic fragmentation, and previous research and corporate practice shows that effective crossing of these internal boundaries can be a source of significant advantage for them (Kostova & Roth, 2003). Successfully melding diverse knowledge residing in different parts of the organization (Kogut & Zander, 1993; Westney, 2001) facilitates innovation (Hargadon & Sutton, 1997; Tsai, 2001) and helps leverage best practices (Szulanski, 1996; Kostova, 1999). But to reap these benefits, MNCs must navigate and negotiate the internal boundaries their very dispersion produces (Carlile, 2004; Leung, Bhagat, Buchan, Erez, & Gibson, 2005; Mäkelä, Kalla, & Piekkari, 2007).

Much extant literature has focused on unit-level interaction and knowledge flows (e.g., Doz, Santos, & Williamson, 2001; Gupta & Govindarajan, 2000; Westney, 2001). However, recent work on microfoundations has argued that the role of individual employees is crucially important for many organizational-level outcomes (see, e.g., two recent special issues: Devinney, 2013; Felin, Foss, Heimericks, & Madsen, 2012). Inter-unit interaction and knowledge sharing is a case in point (Felin & Hesterly, 2007; Foss & Pedersen,

Received: 5 December 2012

Revised: 14 July 2013

Accepted: 3 November 2013

Online publication date: 10 April 2014

2004). Most inter-unit interaction takes place at the interpersonal level, as employees span unit boundaries in the course of their daily work (Argote & Ingram, 2000; Kang, Morris, & Snell, 2007).

Our focus is on individual “boundary spanners”, whom we define as individuals who are perceived by other members of both their own in-group and/or relevant out-groups to engage in and facilitate significant interactions between the two groups (Adams, 1976; Ancona & Caldwell, 1992; Callister & Wall, 2001; Koveshnikov, Barner-Rasmussen, Ehrnrooth, & Mäkelä, 2012; Richter, West, van Dick, & Dawson, 2006). Previous research suggests that boundary spanners contribute significantly to inter-unit interaction in MNCs (Kostova & Roth, 2003; Richter et al., 2006). They facilitate knowledge sharing and the development of collective social capital (Kostova & Roth, 2003; Nahapiet & Ghoshal, 1998), effective collaboration (Richter et al., 2006), and value creation (Tsai & Ghoshal, 1998). However, little is currently known about what enables them to do so.

Culture and language are key sources of friction in the MNC (Bhagat, Kedia, Harveston, & Triandis, 2002; Brannen, 2004); we hence examine cultural and linguistic skills as potential antecedents of individual employees’ boundary spanning ability. We do this through an unorthodox but rigorous combination of qualitative and quantitative analysis. Based on 145 in-depth interviews in 4 MNCs, covering the activities of 118 individual boundary spanners, we explore the relationship between cultural and linguistic skills and the boundary spanning functions an individual performs. Combining quantitative and qualitative analysis of interview data allows us to first detect general patterns in the data, and then shed light on these patterns through in-depth contextual evidence. This yields a quantifiable yet contextualized analysis and increases the robustness and validity of both methods.

Our findings show that cultural and language skills are significantly associated with an individual’s boundary spanning ability. We also find that individuals who possess both cultural and language skills are more versatile as boundary spanners. This means that they perform more boundary spanning functions than those who possess cultural skills only, or neither cultural nor language skills. Finally, we find that language skills are critical for performing the more demanding boundary spanning functions. These results strengthen the microfoundations argument (e.g., Barney & Felin, 2013; Felin et al., 2012) in showing that individual-level resources are associated

with important organizational outcomes, such as inter-unit boundary spanning. The most versatile boundary spanners in our data have several properties that potentially make them not only valuable, but also rare and difficult to imitate as organizational human capital: intersectionality, power distribution, and dispersion. These arguments are detailed in the Discussion section.

BOUNDARY SPANNING IN MULTATIONALS

What is Boundary Spanning?

Size and geographical dispersion are potential advantages for the MNC in terms of access to knowledge and resources (Doz et al., 2001; Westney, 2001), but difficult to exploit in practice. Most real MNCs are not coherent and integrated global operations, but rather collections of units embedded in different local environments, with different and sometimes highly divergent goals and practices (Andersson, Forsgren, & Holm, 2002; Kostova, 1999; Kristensen & Zeitlin, 2005). In the words of Carlile (2004: 566), “instead of seeing the firm as a bundle of resources ... it can be more completely described as a bundle of different types of boundaries”. The interaction challenges resulting from this dispersion are compounded by functional, geographical, temporal, cultural, and linguistic barriers (Bartlett & Ghoshal, 1989; Marschan-Piekkari, Welch, & Welch, 1999; Nohria & Ghoshal, 1997; Westney, 2001), across which frictions abound (Bhagat et al., 2002; Leung et al., 2005; Shenkar, 2001), and inter-unit relationships are often arduous (Kristensen & Zeitlin, 2005) and/or uneven (Monteiro, Arvidsson, & Birkinshaw, 2004). Such boundaries often give rise to various internal subgroups (Vora, Kostova, & Roth, 2007), and interaction across these faultlines (Lau & Murnighan, 1998) thus becomes a key element of boundary spanning in the MNC.

In studying roles of individual employees in MNC-internal exchange, international business research has traditionally focused on expatriates sent out by headquarters to control and coordinate MNC subunits (e.g., Edström & Galbraith, 1977; Harzing, 2001). Outside of our field, and recently also inside it, literature has examined boundary spanners as a broader group, consisting of individuals working across boundaries in different positions (Kostova & Roth, 2003; Koveshnikov et al., 2012), and performing different activities (Johnson & Duxbury, 2010). In this study, as already mentioned, we define boundary spanners as individuals who are perceived by other members of both their own in-group and/or

relevant out-groups to engage in and facilitate significant interactions between the two groups (Adams, 1976; Ancona & Caldwell, 1992; Callister & Wall, 2001; Koveshnikov et al., 2012; Richter et al., 2006).

Boundary-Spanning Functions

The literature suggests that boundary spanning involves many types of activities (Adams, 1976; Ancona & Caldwell, 1992; Callister & Wall, 2001; Kostova & Roth, 2003; Johnson & Duxbury, 2010; Richter et al., 2006). Below, we synthesize these activities into four categories of boundary spanning functions. In order of increasing complexity and sophistication, we term these functions exchanging, linking, facilitating, and intervening.

The function of (*information*) *exchanging* occurs when an individual employee engages in information and knowledge exchange across MNC-internal boundaries. Such exchanges, taking place when individuals interact in order to do their job on behalf of their respective units, form a significant part of all intra-MNC knowledge flows (Argote & Ingram, 2000). They include “delivering” and “gathering” information or intelligence (Johnson & Duxbury, 2010), and can take place in formal meetings, horizontal arrangements such as task forces, or informal networks (Mäkelä, Andersson, & Seppälä, 2012). *Ceteris paribus*, individuals in certain network positions and/or liaison roles are more likely than others to engage in such exchanges. Examples include top management and expatriates/repatriates (e.g., Au & Fukuda, 2002; Downes & Thomas, 2000; Harzing, 2001; Oddou, Osland, & Blakeney, 2009).

Linking, in turn, occurs when boundary spanners use their personal networks to enable previously disconnected actors to link up across internal boundaries (Obstfeld, 2005). Social capital theory tells us that both weak and strong ties can create bridges between different groups (Burt, 1992; Granovetter, 1973), and that individuals who are able to link disconnected actors – bridging or brokering structural holes – may access privileged knowledge and opportunities (Burt, 1992). The benefits that may accrue to individuals in such intermediary roles (Johnson & Duxbury, 2010) can also be transferred to third parties: boundary spanners in MNCs can create linkages between groups in different units that enable future transactions on a broader scale (Kostova & Roth, 2003; Obstfeld, 2005).

The third function, *facilitating*, occurs when boundary spanners assist in the cross-border interactions of others, for example, by acting as channels

through which inter-group messages are delivered and interpreted (Harzing, 2001), or by helping members of two groups understand each other through interpretation (Boland & Tenkasi, 1995). Such interpretation may include explaining the often tacit narratives, codes of conduct, or behaviors of one group to the other (Nahapiet & Ghoshal, 1998), or framing arguments in ways that can be understood and accepted by the other group (what Boland & Tenkasi, 1995, dubbed “perspective taking and making”).

Lastly, the function of *intervening* refers to boundary spanners actively intervening in inter-unit interactions in order to create positive outcomes, for example, by resolving misunderstandings, managing conflicts, or building inter-group trust. This function differs from facilitating in terms of the agency of the boundary spanner: when intervening, boundary spanners take an active role in creating positive cross-group outcomes, often by seeking to turn negative interactions into positive ones and actively promoting effective inter-group relations (Richter et al., 2006). They can, for example, play an important collaborative role in HQ-subsidiary relationships by informing colleagues of their own efficacious interactions with and the merits of the other unit (Kostova & Roth, 2003), thus helping to build inter-unit trust (Perrone, Zaheer, & McEvily, 2003). This function can also involve what Hong (2010) labels “conflict mediation” in the context of multicultural teams, and specific forms of what Johnson and Duxbury (2010) refer to as “relationship building”, “shaping”, and “coordination/negotiating” in the context of Canadian diplomats’ work.

The four functions clearly differ in terms of how demanding they are to perform. Hence they are likely to depend to different degrees on boundary spanners’ personal resources, such as cultural skills, language skills, or combinations of these. This nuanced categorization of increasingly complex and sophisticated forms of boundary spanning thus enables us to explore how cultural and language skills relate to each other and to individuals’ ability to span boundaries in MNCs.

What enables an individual to act as an effective boundary spanner? Given the prevalence of cultural (e.g., Bhagat et al., 2002; Leung et al., 2005) and language (e.g., Barner-Rasmussen & Björkman, 2007; Feely & Harzing, 2003; Marschan-Piekkari et al., 1999; Neeley, 2012) barriers in the MNC, we argue that individual-level cultural and linguistic skills are likely to be significant resources for boundary spanners. Cultural and language skills are important

sources of common cognitive ground and thus contribute to a better understanding of the codes of conduct, systems of meaning, and knowledge base of others (Brannen, 2004; Leung et al., 2005; Marschan-Piekkari et al., 1999). This argument is elaborated below.

CULTURAL AND LANGUAGE SKILLS AS RESOURCES FOR BOUNDARY SPANNING

What are Cultural and Language Skills?

We define cultural skills as consisting of a culture-specific and a culture-general component (Brannen, Garcia, & Thomas, 2009; Brannen & Thomas, 2010; Thomas et al., 2008). The former refers to the extent to which an individual has internalized both tacit and explicit aspects of a domain-specific knowledge set of values, norms and beliefs (Brannen, 2004; Hong, Morris, Chiu, & Benet-Martinez, 2000; Thomas et al., 2008). This can apply to any type of culture, such as national, organizational, or professional. The culture-general component, in turn, refers to the metacognitive ability to “monitor and regulate one’s knowledge processes and cognitive and affective states in relation to an objective and to abstract knowledge from a specific experience to broader principles for future cross-cultural interactions” (Hong, 2010: 94, based on Thomas et al., 2008). This component of cultural skills transcends specific cultures and allows the individual possessing it to operate in culturally appropriate ways across cultures. We focus here on the culture-specific component, while acknowledging that the parallel existence of the culture-general component has important human resource management (HRM) implications.

Language skills, in turn, we define as the extent to which an individual knows and is able to manipulate the linguistic and semantic signals that together constitute a particular language, so as to be able to transfer meaning in that language (Brannen, 2004). In this definition, language skills can in principle refer to the language of a country where a subunit is located, a corporate language, a professional or functional language, a regional *lingua franca*, and/or “company speak”.

We focus here on national cultures and natural languages because they emerged as particularly salient and observable factors in the inter-unit contexts we studied. Differences between, for example, organizational cultures and different forms of company/professional “speak” were less pronounced in our data than those between different national cultures

and natural languages, and their boundaries did not necessarily correspond to unit boundaries. For example, functional subcultures did not always coincide with the boundaries of unit subcultures, and levels of skill in the company “speak” varied within as well as across unit boundaries. Below, we discuss whether and how cultural and language skills are linked to boundary spanning, first separately and then elaborating on their potential joint effect.

Cultural Skills and Boundary Spanning

Much current literature focuses on cultural differences at the aggregate national level (e.g., House, Hanges, Javidan, Dorfman, & Gupta, 2004; Leung et al., 2005; Shenkar, 2001), but cultural differences have also been suggested to be an obstacle at the group and team level (e.g., Stahl, Maznevski, Voigt, & Jonsen, 2010; Williams & O’Reilly, 1998). Social identity and social categorization theory (Erez & Earley, 1993; Tajfel, 1982; Tajfel & Turner, 1986) suggests that people have a general tendency to categorize themselves and others into specific groups, and tend to view their own in-group members more positively than out-group members (Erez & Earley, 1993; Kramer, 1999). The identity derived from group membership is a central driver of subgroup formation, leading to the emergence of faultlines in social settings (Lau & Murnighan, 1998). National culture has been identified as an important driver of such social categorization (e.g., Alderfer, 1986; Earley & Mosakowski, 2000; Tajfel, 1982), driven by surface level characteristics such as ethnicity as well as deeply ingrained cultural beliefs and values (Baugh & Graen, 1997; Earley & Mosakowski, 2000; Jehn & Mannix, 2001).

Cultural skills can consequently be an important resource enabling individuals to span across unit boundaries. The underlying mechanism has, at least partly, to do with what sociologists term homophily (e.g., McPherson, Smith-Lovin, & Cook, 2001; Watts, 1999). This refers to a generic tendency to interact with people who are similar to oneself, be it in terms of surface-level characteristics or deep-level cultural understanding (Brass, 1995; Ibarra 1992; McPherson & Smith-Lovin, 1987). Hence cultural skills may both increase actors’ propensity to interact, and make their interaction less onerous due to greater common ground (Mäkelä et al., 2012). Both patterns are likely to facilitate boundary spanning. For example, network ties tend to be stronger between expatriates from similar cultural backgrounds than between those who originate from

very different national cultures (Manev & Stevenson, 2001).

These findings suggest that culturally more skilled individuals are likely to perform more boundary spanning. Specifically, if boundary spanning entails a number of different functions as discussed above, culturally skilled individuals would logically be able both to perform a larger number of functions and perform each of these more frequently compared with their culturally less-skilled peers. In other words, an individual's cultural skills should be positively associated with his or her boundary spanning in terms of both extent and versatility (the latter term denoting how many boundary spanning functions he or she can perform). We thus forward the following hypotheses:

Hypothesis 1a: An individual's cultural skills are positively related to the extent to which he or she performs each boundary spanning function.

Hypothesis 1b: An individual's cultural skills are positively related to the number of different boundary spanning functions he or she performs.

Language Skills and Boundary Spanning

The literature on language skills in the MNC context postdates that on cultural skills, but clearly indicates that also these skills can be important individual-level resources. Employees with relevant language skills tend to become "language nodes" (Marschan-Piekkari et al., 1999), with better-than-average access to information. This enables them to act as "language mediators", "bridge builders" (Marschan-Piekkari et al., 1999), or "bridge individuals" (Feely & Harzing, 2003), taking on a range of intermediary roles (e.g., as gatekeepers, liaisons, translators and intermediaries for colleagues with more limited language skills). This, in turn, helps them build networks and formal or informal positions of power (Piekkari, 2008; SanAntonio, 1987; Tietze, 2008; Vaara et al., 2005).

Based on the arguments of Feely and Harzing (2003) on the deployment of "bridge individuals" with relevant language skills, Harzing, Köster, and Magner (2011) found several overlapping categories of such individuals. These included bilingual employees acting as "linking-pins", linguistically skilled expatriates and natives, and locally hired non-native managers familiar with both cultures and languages. Harzing et al. (2011) further concluded that expatriates can act successfully as bridge individuals only if they speak the relevant

languages. Inversely, expatriate performance has been shown to suffer from the lack of appropriate language competence (Lincoln, Kerbo, & Wittenhagen, 1995; Park, Hwang, & Harrison, 1996, as quoted in Piekkari, 2008). Finally, fluency in a shared language has been found to be an important factor in the development of close relationships between MNC units (Barner-Rasmussen & Björkman, 2007). Based on this, we advance the following hypotheses on language skills:

Hypothesis 2a: An individual's language skills are positively related to the extent to which he or she performs each boundary spanning function.

Hypothesis 2b: An individual's language skills are positively related to the number of different boundary spanning functions he or she performs.

The Cumulative Effect of Cultural and Language Skills

Cultural and language skills are obviously interlinked, but important questions remain. How are these skills related in terms of organizational outcomes? Do they have differential effects? If yes, on what and to what extent?

Our definitions imply that cultural and language skills are conceptually distinct, but related and complementary. On the one hand, they do not fully overlap or necessarily even coexist. A certain level of cultural skill can be acquired without language skill and vice versa (see, e.g., Ringberg, Reihlen, Luna, & Peracchio, 2010). For example, a Western expatriate who has worked in China for several years would normally possess significant cultural skills, but often would not speak the local language beyond a few phrases. Similarly, language learning (e.g., at school) does not guarantee that an individual possesses any cultural skills. On the other hand, scholars from many different fields have noted that cultural reality is created through language, and the full meaning associated with a given concept cannot be accessed without in-depth knowledge of the language in its cultural context (Auer & Wei, 2008; Brannen, 2004; Deetz, 2001; Hong et al., 2000; Ringberg et al., 2010; Tietze, 2008).

Ringberg et al. (2010) expressed these notions in terms of four possible constellations of cultural and language skills: monocultural-monolingual, monocultural-bilingual, bicultural-monolingual, and bicultural-bilingual. We do not use this terminology – we view cultural and language skills as being held by individuals to a lesser or greater degree, rather

than as discrete categories, and in the contexts we studied very few individuals were in fact purely monolingual or even “only” bilingual – but we concur with the thinking behind the model. For example, monocultural individuals have one set of cultural knowledge structures, which is for their own culture only: although they may possess some knowledge about another culture, this knowledge “is not linked to different mental frames [and hence] does not affect how they view themselves or the world”. Bicultural individuals, in contrast, have distinct sets of knowledge structures for each of the cultures, and bicultural–bilinguals “have internalized two cultures and can speak the languages associated with each of those cultures” (Ringberg et al., 2010: 78). Our view of the ways in which cultural and language skills can coexist are illustrated in Figure 1.

This highlights the potential cumulative effect of cultural and language skills on boundary spanning. We suggest that the two skills reinforce each other in such a way that individuals with both cultural and language skills perform more boundary spanning than those with only cultural skills. This is because individuals with a high degree of both cultural and language skills are better able to ensure semantic fit across cultural barriers (Brannen, 2004). Transferring meaning across cultural contexts is practically impossible without contextual understanding, and fully understanding a context is difficult without knowing its language (Brannen, 2004; Piekkari &

Zander, 2005). Switching languages changes an individual’s cultural interpretive frame, enabling him or her to think and act differently and to operate in culturally appropriate ways (Dewaele, 2008: 107; Hong, 2010; Ringberg et al., 2010). He or she is better able to consider the perspectives of the other side and reduce the number of misunderstandings, thus minimizing conflicts and tension. For example, Harzing et al. (2011: 284) in their large-scale quantitative study identified managers who were locally hired but not natives of the subsidiary’s home country as ideal “bridge individuals” in MNCs, specifically due to their familiarity with both the relevant cultures and the relevant languages. We accordingly advance the following hypothesis:

Hypothesis 3: Individuals who possess both cultural and language skills perform significantly more boundary spanning functions than do those who possess cultural skills only.¹

RESEARCH DESIGN AND METHODOLOGY

Sample

Data were collected in the context of a research project focusing on inter-unit knowledge and competence transfer between the parent company and the Chinese/Russian subsidiaries of four Finland-based multinationals, referred to below as A, B, C, and D. The case firms were selected on the basis that they engaged in strategically significant activities in the key emerging markets of China and Russia. Given the project’s focus, we specifically sought for case companies in which effective interaction between the headquarters and the focal units was considered highly important, but related to various different types of operations and activities. The case selection criteria thus correspond to theoretical sampling (Glaser & Strauss, 1967), in that we aimed for a deep understanding of interaction in the inter-unit context with maximal variety and richness of relevant data (Scandura & Williams, 2000). Information on the case firms is provided in Table 1.

Data Collection

We conducted three rounds of semi-structured interviews ($n = 145$) with top, middle, and line managers at the focal subsidiaries, corporate headquarters, and the HR function (see Table 2). During the data collection, we followed a snowballing method in each of the companies, in that new interviews were identified or suggested to us in previous interviews, until data saturation was reached. The interviews

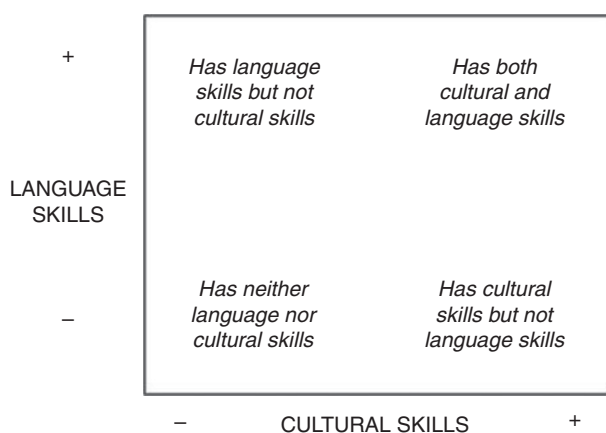


Figure 1 Schematic illustration of the potential coexistence of language skills and cultural skills.

Note: Since our definitions imply that cultural and language skills can be held by individuals to a lesser or greater degree, the figure should be viewed as a schematic illustration of possible extremes rather than an exact depiction of empirical reality with clearly delineated categories.

Table 1 Summary of the sample firms

Firm	Key statistics	Description	Focus of present study
A	40,000 employees in 40 countries	World-leading process manufacturer	Chinese operation including regional HQ functions for Asia Pacific, major production facilities, a local sales and marketing operation and a competence center focusing on regional competence development
B	20,000 employees in 15 countries	Leading manufacturing services provider in the telecom field	Chinese subsidiary focusing on strategically important new processes for product development and partner alliances
C	15,000 employees, focus on Nordic and Eastern European markets	Major producer of consumer goods	Russian operation including a major production facility, a second recently acquired production unit, and sales and logistics operations
D	5000 employees, focus on European and Asian markets	World-leading specialized chemical process manufacturer	Russian operation including a major production facility and a regional sales operation

Table 2 Distribution of interviews

Company	First round	Second round	Third round	In Finland/HQ	In Russia/China	Top managers	Middle managers	Line managers
A	18	12	14	14	30	18	10	16
B	17	9	11	10	27	8	8	21
C	7	26	0	12	21	23	5	5
D	12	19	0	15	16	13	14	4
	Total: 145			Total: 145		Total: 145		

focused on knowledge and competences, and issues that were deemed relevant to their transfer (see Appendix), and the interviewees were asked to give as many practical examples as possible.

Importantly for the current paper, boundary spanning as a theme was not directly addressed during the interviews, but emerged during the research process and was consequently elaborated upon through an “abductive” process involving movement between empirical data and theory (Dubois & Gadde, 2002; Van Maanen, Sorensen, & Mitchell, 2007). The theme emerged when we wrote company reports on the data. When analyzing our interviews for this purpose, the names of a small number of individuals appeared repeatedly (and in a similar fashion across each of the four companies) in ways that indicated they had played key roles in developing the respective companies’ cross-border operations. Intrigued by this observation, we started to look more systematically for what boundary-spanning functions these individuals performed and what enabled them to do so. Our data on boundary spanning were thus extracted from rich descriptions of competence development and knowledge-transfer activities in inter-unit contexts, meaning

that our evidence of boundary-spanning activities is naturally occurring, unforced, and characterized by high context realism (cf. Scandura & Williams, 2000).

The data were collected by a team of eight people. All were native or fluent speakers of at least two of the following languages: Finnish, Swedish, English, Russian, Mandarin, and Cantonese. Interviews were conducted in all of these languages, and teams of two interviewers were used whenever possible. Following the recommendations of Welch and Piekkari (2006) and established best practice (e.g., Harzing et al., 2011) interviewers and respondents were matched so that in nearly all cases the respondent’s preferred language could be used. This yielded richer and more accurate data than would have been possible by only using English, helped build rapport, and maximized authenticity.

The interviews lasted 45–120 min. They were recorded and transcribed word-for-word, yielding a total of some 1800 single-spaced pages of transcripts containing approximately 936,000 words. In order to make the data readily accessible to the whole research team, the interviews conducted in Russian, Mandarin, and Cantonese were translated into English by

the interviewers – academically highly qualified native speakers of the respective languages with English as their working language (see Harzing et al., 2011 for a similar procedure). Such translations tend to be of higher quality than those of external translators who are not experts on either the topic or the organizational context. We hedged against biases by discussing and resolving any uncertainties concerning these translations within the research team. The Finnish and Swedish interviews were coded in the original languages, as the key members of the author team were fluent speakers of both.

Coding

In coding the data, we first open-coded it (Strauss & Corbin, 1998) focusing on its *manifest content* (see, e.g., Suddaby & Greenwood, 2005) in relation to our research topic. Specifically, we searched the transcripts for pieces of evidence referring to individuals directly or indirectly involved in inter-group interactions. Having identified 118 boundary spanners in this way, we proceeded to the next stage of coding. To ensure construct and face validity (Koka & Prescott, 2002), we drew on the relevant literature to define and operationalize our constructs as illustrated in Table 3. Based on this, we considered the *latent content* of the data (Suddaby & Greenwood, 2005), coding interviewees' direct or indirect attributions of (i) cultural or linguistic skills and (ii) boundary-spanning

functions to each of the identified individuals. Examples of data coding are provided in Table 4.

To ensure data and measurement equivalence (Hult et al., 2008) and the reliability of the coding, we first piloted the coding sheet through a process in which all four co-authors separately coded one interview, compared, and discussed the outcomes in detail, and reached agreement on interpretations and operationalizations. The inter-rater reliability of the coding (Langley, 1999) was 90%. Subsequently each co-author focused on one sample firm, coding all interviews in it. To further test the reliability of the coding, we compared the resultant data across the four case firms, and found no differences with regard to the overall patterns of the codes (such as the overall distribution of the four boundary spanning functions) beyond what could be expected due to the different situations of the case firms. Throughout the process, coding accuracy was also ensured by triangulation between primary data, secondary data (observation and field notes), and company-internal documentation. For example, we used organization charts and field notes to identify/confirm boundary spanners that one respondent might have referred to by first name only (e.g., "Irina"), and another by title (e.g., "the logistics manager in St Petersburg"). In order to maximize the richness of the data, both boundary spanners' own accounts and those of others were analyzed.

Table 3 Coding sheet with definitions of the key variables

Functions	Exchanging	Personal engagement in the exchange of information, knowledge and other such resources with actors in the other unit	Ancona & Caldwell (1992); Mäkelä & Brewster (2009); Johnson & Duxbury (2010)
	Linking	Utilization of personal networks to enable other, previously unconnected actors to connect across unit boundaries	Burt (1992, 1997); Kostova & Roth (2003); Johnson & Duxbury (2010)
	Facilitating	Personal engagement in facilitating/assisting others' cross-boundary transactions	Boland & Tenkasi (1995); Harzing (2001); Johnson & Duxbury (2010)
	Intervening	Personal active intervention in inter-unit interactions in order to create positive outcomes (e.g., resolving misunderstandings, managing conflicts or contributing to trust building between the two units)	Ancona & Caldwell (1992); Kostova & Roth (2003); Johnson & Duxbury (2010)
Skills	Cultural skills	The extent to which an individual has internalized both tacit and explicit aspects of a domain-specific knowledge set of values, norms and beliefs (please note that our empirical focus is on culture-specific skills; culture-general skills are excluded from the empirical analysis)	Brannen et al. (2009); Brannen & Thomas (2010); Hong (2010); Thomas et al. (2008)
	Language skills	The extent to which an individual knows and is able to manipulate the linguistic and semantic signals that together constitute a particular language so as to be able to transfer meaning in that language	Brannen (2004)

Note: All definitions refer to inter-unit interaction between the corporate headquarters in Finland and subsidiaries in China or Russia. The definitions of cultural and language skills may in principle refer to any type of culture (e.g., corporate or industry) or language (e.g., company speak or professional jargon), but refer here to knowledge of national cultures and natural languages.

Table 4 Data-coding examples

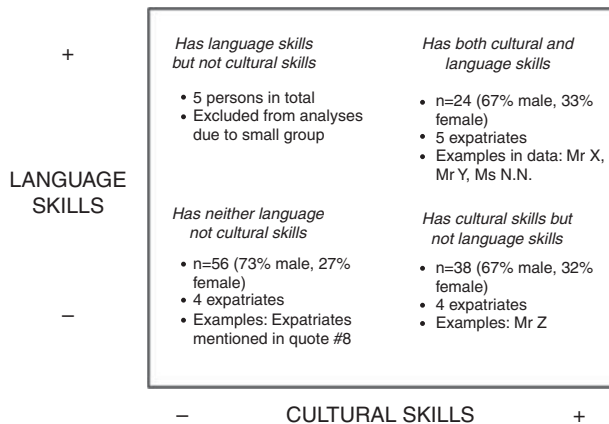
Coding examples	
Interview excerpt	"When C decided to buy [unit] in Moscow, yes, I had some discussions with my colleagues, I mean the general manager of C Finland"
Interviewee	Yuri, management team member at the Russian unit of Company C
Interpretation	Yuri states that he has exchanged views with colleagues at HQ
Coded as	One piece of evidence of the <i>exchanging function</i> recorded for Yuri
Interview excerpt	"If somebody wants to contact and give instructions from Finland to ... a person in the financial department here, then there's actually no other way than communicating it through me"
Interviewee	Andrei, a business controller at the Russian unit of Company D
Interpretation	Andrei describes how he helps to link managers in Finland with their colleagues in the financial department at the Russian unit of Company D
Coded as	One piece of evidence of the <i>linking function</i> recorded for Andrei
Interview excerpt	"Sometimes I try to play like a loop in-between, delivering some messages to the management, what they [local employees] are thinking and sometimes I also talk to local people [about HQ] ... I give feedback about what you should say and what you should not say. When you should say this and when you should say that"
Interviewee	Mary, a local manager at the Chinese unit of Company B
Interpretation	Mary describes how she interprets messages between her unit (the Chinese unit) and the other unit (the HQ in Finland)
Coded as	One piece of evidence of the <i>facilitating function</i> recorded for Mary
Interview excerpt	"I just get very uncomfortable, if some people [from HQ and local unit] have misunderstandings with each other in front of me. Immediately I should help out and give them a clear message"
Interviewee	Mary, a local manager at the Chinese unit of Company B
Interpretation	Mary describes how she intervenes between her in-group (the Chinese unit employees) and an out-group (the HQ employees in Finland) to resolve misunderstandings
Coded as	One piece of evidence of the <i>intervening function</i> recorded for Mary
Interview excerpt	"Mary clearly speaks the best English here"
Interviewee	Manager at the Chinese unit of Company B
Interpretation	Colleague at the Chinese unit refers to Mary's good command of English
Coded as	One piece of evidence of <i>language skills</i> recorded for Mary
Interview excerpt	"Finns are usually in the 'boss' position, Chinese are usually workers. The Chinese are used to doing what bosses tell them to do. I do as you have told me. Even if I think I should do something, if the boss hasn't given the order yet, I would not do it. They would have this kind of thinking. But Finns would think that even if I haven't told you to do this, you have your previous experience, previous background, you should even be able to think ahead of me and do the things"
Interviewee	Mary, a local manager at the Chinese unit of Company B
Interpretation	Mary describes the differences in the working mentalities of Finns and Chinese, thus showing her knowledge of both cultures
Coded as	One piece of evidence of <i>cultural skills</i> recorded for Mary

This process yielded a database of 1222 observations pertaining to 118 boundary spanners (Company A $n=16$; B $n=28$; C $n=37$; and D $n=37$). The total number of observations in each coding category for each boundary spanner was counted, and the counted score was used as a measure of the strength of the evidence for his/her linguistic and/or cultural skills, or boundary spanning activity, respectively. This measure ranged from 0 to 27 (the lowest and highest number of coded pieces of

evidence for any individual with regard to any one code). As illustrated in Table 5, exchanging was by far the most frequently attributed function (638 observations in total). Performing this function was attributed to 103 of the 118 boundary spanners, and 68 of them were perceived as only performing this function. Performing the other functions was attributed both to a much lesser extent in general and to significantly fewer individuals (linking: 40 observations, 19 individuals; facilitating: 67

Table 5 Frequencies of resources and functions

	Observations (<i>n</i>)	
Function	Exchanging	638
	Linking	40
	Facilitating	67
	Intervening	70
Resource	Cultural skills	350
	Linguistic skills	57
	Total	1222

**Figure 2** Descriptive data of the 118 boundary spanners.

observations, 31 individuals; intervening: 70 observations, 23 individuals). Many of the 118 boundary spanners thus scored low in terms of performing the various boundary spanning functions. For example, the average score for the 19 individuals that were reported to perform the linking function was around 2(= 40/19). These measures of boundary spanning and linguistic or cultural skills are summarized in Table 5. These data allowed us to test Hypotheses 1a–2b. Figure 2 contains descriptive information on the 118 boundary spanners.

To test Hypothesis 3, we created two additional variables. First, a group independent variable was created, which received the value 0 if no evidence of either cultural or language skills was found for the boundary spanner in question (*n* = 56), 1 if s/he had been indicated to possess cultural skills but not linguistic skills (*n* = 38), and 2 if s/he had been indicated to have both cultural and linguistic skills (*n* = 24). Second, a separate count variable was created to assess the number of different boundary spanning functions performed by an individual, ranging from 0 (no boundary spanning functions performed) to 4 (all four boundary spanning functions performed).

Analysis

Each coded piece of evidence was entered into a spreadsheet file as a separate observation with information on the respondent, the individual referred to in the quoted evidence, the code of the boundary spanning function performed or skill possessed, and the actual evidence quoted. This spreadsheet enabled us to trace each observation to the original transcript, maintaining an unbroken and retrievable chain of contextual evidence. It also facilitated the qualitative analysis as we could use the Excel ordering function to axial-code the data using various combinations of categories (individual, code, and/or source of evidence) (Strauss & Corbin, 1998). The database could also easily be transferred to SPSS for statistical analysis. Our method builds on previous studies combining qualitative data with quantitative analysis (e.g., Suddaby & Greenwood, 2005), but goes beyond these by analyzing primary interview data not only in terms of frequency counts and percentages, but also by testing significance levels of correlations (Scandura & Williams, 2000 used a similar methodology to analyze secondary data) and conducting analyses of variance.

Quantitative analysis

Hypotheses 1a–2b were tested by quantitative correlation analysis (*n* = 118 boundary spanners). For this test we used Spearman's rank correlation coefficient (Spearman's ρ , two-tailed), a non-parametric measure of statistical dependence between two variables. We chose Spearman rank correlations because they do not involve any assumptions of sample size or distribution of observations (Lind, Marchal, & Wathen, 2010). Hence they allow statistical analyses based on relatively low sample sizes and also correct for the non-normality stemming from the long-tail pattern of our data, in which some individuals scored high on our measures but the majority scored low. The bivariate correlations were first used to further assess discriminant validity, in particular the question of whether cultural skills and language skills were analytically distinct variables. The correlation analysis reported in Table 6 shows that this is indeed the case: Although significantly correlated, as could be expected, they nevertheless remained clearly separate variables with a correlation coefficient of 0.48.

To test Hypothesis 3, concerning the cumulative effect of linguistic and cultural resources on boundary spanning, we conducted ANOVA analyses of variance assessing the relationship between our group variable of cultural/language skills possessed

Table 6 Bivariate Spearman rank correlations between resources and functions

	Mean	s.d.	Culture	Language	Exchanging	Linking	Facilitating	Intervening
Has cultural skills	0.53	0.5	...					
Has language skills	0.20	0.4	0.48**	...				
Exchanging	5.41	6.4	0.54**	0.34**	...			
Linking	0.34	0.9	0.37**	0.24**	0.37**	...		
Facilitating	0.57	1.3	0.53**	0.60**	0.46**	0.42**	...	
Intervening	0.59	1.6	0.46**	0.45**	0.48**	0.51**	0.62**	...

Note: All correlations two-tailed. ** correlation significant at 0.01; * correlation significant at 0.05.

Table 7 One-way analysis of variance

Descriptives	<i>n</i>	Mean	s.d.
Has neither skill (NEITHER)	56	0.84	0.37
Has cultural but not language skills (ONLYCULT)	38	1.79	1.09
Has both skills (BOTH)	24	2.54	
<i>F</i> = 38,654***			
Multiple comparisons (<i>post hoc</i>)			Mean difference
BOTH	NEITHER		1.70
BOTH	ONLYCULT		0.752
ONLYCULT	NEITHER		0.950
All mean differences significant at the 0.05 level			

Notes: Dependent variable: Number of types of boundary spanning performed.

Independent variable: Possession of cultural and/or language skills.

(0, 1, and 2), and the number of boundary spanning functions an individual performed. This analysis is reported in Table 7. Given the relatively small sample size and uneven group sizes, these results were double-checked with an additional non-parametric Kruskal–Wallis test (Lind et al., 2010), with no changes in the results.

Qualitative analysis

We used the Excel sorting function as a tool to organize the data for the qualitative analysis. This enabled us to first-order sort the data by the 118 boundary spanners' cultural and linguistic skills and then second-order sort it by the evidence for their boundary spanning. Such multiple-order sorting provided an effective way of understanding the data, and allowed us to assess the strength of the evidence for the skills and functions, while interpreting it in the light of concrete examples. We continuously juxtaposed our interpretations of the data patterns with our in-depth understanding of the case companies and the focal individuals' positions, job responsibilities, previous experience, and personal characteristics.

To further enhance the validity of our interpretations, we also drew on internal and external secondary data sources during this process (see, e.g., Jarzabkowski, 2008; Lincoln & Guba, 1985), such as internal documents and organization charts, and press releases. The observed patterns were triangulated with our theoretical premises and the existing literature, as well as the results of the quantitative analysis.

RESULTS

Quantitative Analysis

Hypotheses 1 and 2 suggest that an individual's cultural skills and language skills, respectively, are positively associated with (i) the extent to which s/he performs each boundary spanning function and (ii) the number of different boundary spanning functions s/he performs. In assessing these hypotheses, we first examined the bivariate correlations between cultural and language skills and the four different boundary spanning functions (see Table 6). This analysis shows that cultural skills correlate significantly and positively at the $p \leq 0.01^{**}$ level with all four boundary spanning functions. Cultural skills also correlate with the "number of boundary

spanning functions performed" variable, similarly at the $p \leq 0.01^{**}$ level. While correlations do not permit claims of causality, they nevertheless indicate both the strength and the direction (positive or negative) of the association between cultural skills and boundary spanning.

Also language skills are significantly correlated with all boundary spanning functions and the number of boundary spanning functions (all at the $p \leq 0.01^{**}$ level). Further, facilitating (0.60) and intervening (0.45) attain noticeably higher correlation coefficients than exchanging (0.34) and linking (0.24). This finding suggests that linguistic skills are particularly important for the more complex boundary spanning functions. In other words, linguistic skills do facilitate exchanging and linking, but seem particularly important for the more demanding (and also potentially more important) boundary spanning functions. We will return to this observation in the Discussion section. Taken together, the correlation analyses support Hypotheses 1 and 2.

Next, we conducted analyses of variance (see Table 7) to assess whether individuals possessing both cultural and linguistic skills performed a larger number of boundary spanning functions than those possessing cultural skills only, or neither skill, as Hypothesis 3 suggests.

Table 7 shows that individuals who have cultural skills perform significantly more boundary spanning functions than those who do not have any cultural or linguistic skills, and that those who have both cultural and linguistic skills perform significantly more boundary spanning functions than those with only cultural skills (all mean differences being significant at the $p \leq 0.05^{*}$ level).² These results support Hypothesis 3. In our data set, this means that on average, those who had both cultural and linguistic skills performed 19% more boundary spanning functions than those with cultural skills only. Although we cannot generalize, this finding combined with the possibility that linguistic skills are particularly conducive to the facilitating and intervening functions, raises interesting theoretical and practical implications that we return to in the Discussion section.

Qualitative Analysis

We started our qualitative analysis by ordering the 118 individuals, first, according to whether they possessed only cultural skills, only language skills, or both; and then to how many types of boundary spanning functions they performed. A similar ordering process was repeated for each boundary

spanning function (exchanging, linking, facilitating, and intervening). This process yielded intriguing findings in that the same individuals topped each list, suggesting a power distribution in which some individuals perform significant amounts of boundary spanning and a long tail of others very little. In fact, of all the individuals listed as being formally involved in inter-unit interaction, surprisingly few contributed to inter-unit relationships in ways that were attributed as crucial. It seems that even in large firms, fruitful inter-unit relationships hinge on the contributions of a handful of people.

One of the most effective boundary spanners was Mr X in Company A (see Quotes 1–4). Chinese by origin, he had studied in Finland and had become fluent in Finnish. Upon graduating, he was recruited to Company A, and worked in various positions at the headquarters in Finland before being assigned to China. He was referred to in very positive terms by interviewees in both Finland and China, with regard to his cultural and language skills as well as his boundary spanning ability.

I think Mr. X is a good example of how you should do these things. He has a background of being in Finland, then doing different jobs within the company, and now he's the head of sales and the head of the Asia Pacific office in China. [Quote 1: Top-management team member at the Asia Pacific Regional HQ, Company A]

How the Chinese subsidiary has been connected to the global organization is really down to human resource arrangements. We have Mr. X, for example, he knows everyone and can connect people between Europe and Asia. [Quote 2: Manager at the corporate HR function, Company A]

The boundary spanning ability of Mr X seemed to be strongly supported by his cultural understanding and proficiency in both languages (Finnish and Mandarin). These factors contributed to his insider status, or multimembership (Wenger, 1998), in both groups.

He is Chinese although he immigrated to Finland. But he still knows about the local. So I think this is a good thing. [Quote 3: Line manager at the Chinese subsidiary (Chinese), Company A]

Honestly, personally I think he is quite Scandinavian [in his] style. [But] ... he can also interpret [the local language and ways of communicating]. [Quote 4: Top-management team member at the Chinese subsidiary (a Finnish expatriate from HQ), Company A]

In fact, the versatility of the most effective boundary spanners seemed to crucially depend on a combination of cultural understanding and good language skills. An illustrative example of the value

added by language skills is Mr Y, the general manager of the Russian factory of Company D, a Russian who speaks fluent Finnish (see Quotes 5 and 6 below).

For me it has been very easy, because, you know, I have now spoken Finnish for sixteen years, and it has been very helpful for me in my work ... I don't think I would even have this job, if I didn't speak Finnish. [Quote 5: Mr. Y, the general manager of Company D's Russian factory]

I think it has been very important that Mr. Y speaks fluent Finnish. We have, for example, been able to conduct all meetings in the important start phase of the operation in Finnish ... I think one of the key success factors of Mr. Y has been his language skills. Of course, he has many other good qualities, too, but language has been significant. He is very good at languages. [Quote 6: Manager at the headquarters, Company D]

This example contrasted with that of Mr. Z, an expatriate in the in the Chinese subsidiary of Company B (see Quote 7). He was Chinese by origin but had lived in Finland and worked in Company B for around 15 years. He thus possessed a lot of cultural knowledge – but was not fluent in Finnish. This seems to have contributed to a lack of multimembership, in that although he had been working in Company B in Finland for a long time before his expatriate assignment, he was still seen as a member of the Chinese out-group by the other Finnish expatriates in China. This seemed to have a negative effect on his boundary spanning ability, particularly with regard to the more demanding functions of facilitating and intervening.

Communication is the problem ... I've lived in Finland for many years, 15 years actually, and I know I still have the language problem when communicating with people We are using English as the working language most of the time When we are talking in Finnish, I could generally understand what the topics and problems are, but not specific things, for example, I could hardly understand the emotions of others. [Quote 7: Mr. Z, expatriate from Finland in the Chinese subsidiary of Company B, originally Chinese]

Interestingly, many higher-level managers and expatriates performed only one or two boundary-spanning functions. Indeed, our qualitative evidence shows the significant negative influence that a lack of cultural and language skills can have on boundary spanning ability. People who lacked these skills – also high-level managers and expatriates – were often restricted to communicating headquarters decisions to subsidiaries (usually in English) and reporting back on the reactions, rather than being able to effectively facilitate and/or intervene. Such lack of in-depth insight into the local culture and skills in the internal

working language of the other unit often led to tangible faultlines, as illustrated in the following remarks from a Chinese manager in Company B referring to four Finnish expatriates working in the Chinese subsidiary (see Quote 8). Notably Mr Z, the Chinese expatriate referred to above, was not able to span this in-group–out-group fault line between the Finnish expatriates and the local Chinese, but remained firmly in the Chinese group.

We only hear about our company's situation in the info sharing meeting. But I do not think that they have taken any actions to eliminate the communication barriers. No action, they just share the information ... They do not have this one-to-one communication, just a lot of communication meetings for big teams ... during working time we have discussions about things related to work but after work we do not have any communication. For example, during lunchtime if Chinese go to this restaurant, they go to another ... During the first year in our office there was only one foreigner. Sometimes he was coming with Chinese colleagues ... Now there are four foreigners so they go to lunch always as a team. If there was only one then he would join us for lunch ... but they are four (laughs). [Quote 8: Manager in the Chinese subsidiary (Chinese), Company B]

Notably, the power distribution pattern did not seem to be associated with particular job roles or hierarchical positions. Of the 118 individuals (of whom we at this stage already had considerable in-depth knowledge), the most active boundary spanners were in many different types of job roles and were surprisingly evenly located at all levels of hierarchy, ranging from assistant roles to managing directors. One example of such an effective boundary spanner was Ms N.N., an assistant/interpreter in Company C (see Quotes 9 and 10). She had started her career translating negotiations between Finns and Russians, but this role evolved drastically over time to the point that, due to her personal cultural and linguistic skills, she had become the main link between managers in the Finnish and Russian units in several major areas such as manufacturing, marketing, and logistics.

We have been lucky enough to have a key person here, who has really been important. She has not only been an interpreter, she has been helping people in the Russian unit in many ways ... She has really been much more important than people realize. [Quote 9: Manager at the Russian unit, Company C]

One other person who really knows what is going on there [in the Russian unit] is our assistant [Ms. N.N.]. She has been with [a key Finnish manager] for a very long time and people love her and of course she speaks very fluent Russian and people really trust her, very much so. [The Finnish manager] does not speak Russian so he is very dependent on her, when



he goes there it's the three of them, [the managing director of the Russian subsidiary], Ms. N.N. and [the Finnish manager] and she is "the glue" between them. I would say that she is probably the person in Russia who knows the whole company best. [Quote 10: Top-management team member at HQ, Company C]

Assuming that boundary spanning significantly assists both inter-unit flows of knowledge and effective collaborations (Kostova & Roth, 2003), these observations carry significant theoretical and practical implications related to human capital. We will now turn to discussing these.

DISCUSSION

Contributions

This study has examined the role of cultural and language skills as resources for individual employees' boundary spanning ability within the MNC. We have approached this question through a blend of qualitative and quantitative methods, allowing us to first zoom out from rich but disordered qualitative data to detect quantifiable general patterns, and then zoom back in to explore these patterns in depth. This has provided us with quantifiable yet contextualized data, in which the qualitative findings support the quantitative results with direct evidence and nuances of interpretation (Langley, 1999), and the quantitative results improve the conclusion validity of the qualitative analysis (cf. Scandura & Williams, 2000). This approach has been decisive to arrive at the findings presented above.

The findings of our quantitative analysis suggest that both cultural skills and language skills are associated with the extent to which individual employees perform the individual boundary spanning functions of exchanging, linking, facilitating, and intervening. We also show that cultural and language skills contribute to what we refer to as boundary spanning *versatility*, in that individuals with better skills perform more different boundary spanning functions than those who are less skilled. Third, individuals who possess *both* cultural and language skills are the most versatile boundary spanners, in that they perform a significantly larger number of functions than do those who possess cultural skills only, or neither skill. Cultural and language skills are obviously interlinked and work in the same direction; yet, cultural skills on their own do not facilitate boundary spanning to the same extent as both skills do together. Furthermore, based on both the quantitative and qualitative

evidence, it seems that language skills are critical for the more demanding functions of facilitating and linking. Our findings thus shed light on the question of whether language skills matter over and above cultural skills, and – albeit imperfectly and with limitations – makes it possible to distinguish and quantify the added value of language skills. This suggests tangible effects between cultural and language skills that are both *cumulative* (since possessing both cultural and language skills is associated with the boundary spanner performing more functions), and *differential* (in that language is relatively more important for the more demanding functions of facilitating and intervening). It also points to the benefits of intersectionality, or the interactional effects of belonging to multiple social categories (Zander et al., 2010). We return to this point below.

Our qualitative analysis adds two intriguing further contributions. First, when ordering the boundary spanning individuals by the strength of the evidence in each category, we found that the same individuals featured regularly regardless of which way we organized the data. Thus boundary spanning tends to take the form of a power distribution in that highly effective boundary spanners are rare, while others form a long tail of very little boundary spanning. Second, we found that the most effective boundary spanners were often not located in the most obvious positions (such as top managers or expatriates), but distributed across different organizational levels and job roles.

These findings highlight the importance of micro-foundations (Barney & Felin, 2013; Felin et al., 2012). We show empirically that individual-level resources are associated with important organizational outcomes, such as inter-unit boundary spanning. Generalizing from our findings, it seems that the most versatile boundary spanners have three properties – intersectionality, power distribution, and dispersion – that potentially make them not only valuable, but also rare and difficult-to-imitate resources. The intersection of two complementary skills both yields more benefits than either one alone, and is more difficult to imitate than single skills. Our study focused on the combination of cultural and language skills, but other combinations are also conceivable, such as language skills combined with an understanding of two different functional fields, or cultural and language skills combined with a high level of generic interpersonal skills. Second, such intersectionality is rare, in that we find a power distribution with only a handful of individuals in our sample possessing high levels of

both cultural and language skills, yet accounting for a significant part of the boundary spanning. Third, the most effective boundary spanners were often not located at the most obvious places (such as in top management or expatriate positions). They were dispersed across different organizational levels and job roles, and their boundary-spanning ability was driven by their personal skills rather than their structural network position, which has been the focus of most previous literature on brokerage and boundary spanning (e.g., Burt, 1992; Kostova & Roth, 2003).

Thus individual-level cultural and language skills constitute valuable resources that are both rare (less than 10% of the individuals examined in our study possessed both) and difficult to imitate (in that acquiring both cultural and linguistic skills requires significant investment; and being dispersed across the organization makes them more difficult to identify from outside). In fact, our most effective boundary spanners may represent a key category of the undervalued generic human capital that according to Campbell, Coff and Kryscynski (2012) can supply firms with equal, if not more, advantage than the firm-specific human capital that the resource-based literature has thus far focused upon.

Limitations and Implications for Further Research

We will now discuss the limitations and practical implications of our findings, and provide some suggestions for future research. First, we focused on national culture and natural languages only. Other types of culture (particularly organizational culture) and language (particularly company, professional/functional, and industry “speak”) may generate important boundaries with properties different from those we examined. These boundaries may also coincide with cultural and linguistic ones, amplifying these. Our data did not allow an examination of these important boundaries, and we urgently encourage other researchers to pursue this issue.

Second, our data were restricted to a relatively small number of firms from one country of origin, and results from other contexts may be different. In particular, Nordic firms may handle language issues differently from firms originating from other regions, and also emphasize the use of English as an internal language (Harzing & Pudelko, 2013). It may also be that findings concerning other cultural and language boundaries than those between Finland and China/Russia are different. An important task for further study is to compare the role of English versus local languages in boundary spanning. On

the one hand, English as a common corporate language signals equal opportunities and a “level playing field” for all, thus helping transcend faultlines latent in all multilingual and multicultural contexts. On the other, English-only policies mandated from above have serious practical limitations, and the tendency to form informal language-based clusters “below the radar” of formal policy is ubiquitous (Marschan-Piekkari et al., 1999). English was the corporate language of all our case firms, but sample individuals had highly varied levels of proficiency both in English and local unit languages, and this clearly contributed to the extent of boundary spanning they performed.

Third, likability, power relationships, recent collaborations, and contextual factors may to some extent have influenced how our interviewees attributed both skills and boundary spanning functions to certain individuals. However, such exogenous influences are unlikely to explain the relationships between the resources (cultural and language skills) and the boundary spanning functions in a systematic and differential way, given that the evidence was aggregated from a large number of interviews from both sides of the boundary, and from respondents that were in different relationships/positions *vis-à-vis* the focal boundary spanners. For example, the majority of boundary spanners in our data (69 of 118) were only mentioned to perform the exchanging function, and many more were mentioned but were not referred to at all in connection to boundary spanning. It is unlikely that all of these people were, for example, less likeable or had less formal power than the identified boundary spanners. Also, our qualitative data did not indicate any notable differences across these groups in terms of likeability or power. Therefore it is reasonable to assume that boundary spanning was driven by other factors, such as cultural and language skills. In fact, our findings point to the possibility that power may also be an outcome of possessing the resources that enable boundary spanning, rather than an exogenous variable biasing the examined relationships. Marschan-Piekkari et al. (1999) and Vaara et al. (2005) suggest that people with superior language capabilities are often able to accumulate considerable informal power by being perceived as professionally more competent, having better access to knowledge and resources, and assuming gatekeeper roles. Our findings support these notions. Hierarchically superior managers were often highly dependent on the boundary-spanning ability of culturally and linguistically more skilled subordinates, some of



whom wielded considerable implicit power and influence due to their personal skills, independently of their formal position.

Fourth, the limits of our data in terms of longitudinality and participant observation allowed only speculation about how the dynamics we have described may develop over time. The resources that boundary spanners draw upon take a long time to build and are context-specific. We were unable to analyze how the individuals in our sample had developed their cultural and language skills, or to what extent this process can be influenced by the MNC. Indeed, there is a difficult balance to be struck between developing and deploying key human resources. Motivated individuals with appropriate development opportunities and organizational support may be able to increase their skills over time, but as cultural and language skills are often tied to specific boundaries, such investments are not necessarily possible to leverage in other contexts.

Importantly, culture-general skills (that is, using metacognitive skills from specific cultural and language experiences to assist broader cross-cultural interactions; Hong, 2010; Thomas et al., 2008) may make it easier to operate in situations where one does not possess relevant culture-specific skills. We were unable to address this component with our empirical data, but it has considerable potential for enhancing firm-internal collaboration and more research is urgently needed. The culture-general component may also be possible to address through HRM practices, such as international assignments and global mindset training.

We contend that individuals who have developed high levels of relevant cultural and language skills (either with their current employer or elsewhere) play a crucial role in inter-unit relationships, and firms would do well to recognize their value. Organizations who identify and utilize this undervalued human capital (cf. Campbell et al., 2012) may reap benefits that are equally if not more important than those yielded by traditional talent management efforts on focusing on firm-specific skills and upper levels of management. Recognizing, mobilizing, rewarding, and retaining these “secret linchpins” would seem to be a crucial challenge of international HRM. This is particularly important in strategically important markets where relevant cultural and language skills are scarce (such as China and Russia, both large markets where much of the business is conducted in the local language and the command of English is generally relatively low).

It would be a serious mistake to equate boundary spanners in the MNC context with expatriates. The two groups overlap to an extent, but our findings show that they are anything but interchangeable, and non-expatriates often play a crucial role in boundary spanning while far from all expatriates do. At least in the short- to medium-term, it may be disadvantageous both from an organizational and a personal point of view to rotate individuals with high levels of cultural and language skills who have an important and established role in a particular inter-unit relationship.

We also observed potential negative effects of the lack of cultural and language skills. Our data include examples of expatriates who had limited cultural and language skills and performed only little boundary spanning, and whose presence and actions in the subsidiary were felt by locals to have a negative impact on both the image of the HQ and the perceptions of home-country nationals’ professional competence (cf. Peltokorpi & Vaara, 2012). We were unable to delve more deeply into such negative consequences, but the theoretical arguments of Labianca and Brass (2006) suggest that this could be a fruitful line of future inquiry.

Finally, the relevance of boundary spanning as an organizational phenomenon obviously goes well beyond the intra-firm, inter-unit context, and we encourage empirical inquiry into the extent to which our results are applicable to other boundaries. Relationships with customers and between alliance or merger/acquisition partners, for example, would appear to be fruitful avenues of exploration, given their increasing importance for MNCs. There is little doubt that boundary spanning is relevant also in these contexts, but in terms of its dynamics it may well differ in the details from what is outlined above.

NOTES

¹Our data do not allow the examination of individuals with language skills but not cultural skills, as there were too few ($n=5$) individuals in that category to allow a robust quantitative analysis. Exploring this category closer is, however, an obvious suggestion for further research and has practical implications, for example, career trajectories.

²We also assessed the relationship between the above grouping variable and each of the boundary spanning functions separately. Although the detailed results of this *post hoc* analysis are not presented here in order to leave enough space for the qualitative analysis, the results were similar to those discussed here.

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APPENDIX

The First Round of Interviews (Fall 2006)

In the first round of interviews, we were particularly interested in understanding the basic challenges, successes, and failures of inter-unit knowledge and competence transfer, and related questions concerning human and social capital, as these were at this point deemed particularly relevant for knowledge and competences. Questions included the following, and interviewees were encouraged to give practical examples:

Can you tell us about the background and current state of your investment in the unit?

- Why was the investment made?
- In relation to your objective with the investment, where are you now?
- What do you see as the biggest achievements and challenges?
- How have you gone about managing the relationships between the headquarters and the unit?

Could you give us examples of any transfers of practices that you have been involved with?

- Successful and/or unsuccessful?
- From the headquarters to the case unit and/or from the case unit to the headquarters?

The Second Round of Interviews (Spring 2007)

For the second round of interviews, we had identified four different sub-projects arising from the first

round of data collection that we wanted to pursue further, including the role of culture and language in knowledge and competence transfer processes (the topic of individuals as boundary spanners was not specified at this point yet, but we rather sought to examine these topic in relation to inter-unit knowledge and competence transfer). Questions included the following, and interviewees were encouraged to give practical examples:

Language and competence

How have the visions and values of the mother-company been transferred to the/this subunit?

What have the reactions been? Why?

- Did language play a role in this process? How?
- Can you tell us about the role that language plays in the relationship between the subunit and the mother company?
- Can you describe the language skills that people have in the subunit?
- What impact would you say a lack of language skills have on daily operations or cooperation?
- In what ways do language skills affect one's position or status in the company?

Cultural differences, trust, and control

- How would you characterize the overall relations between the mother-company and the subunit people? Are there major problems?

- Could you elaborate on how you perceive the cultural differences in general between Finland and Russia/China?
- How would you describe their impact on the relationship between the HQ and the Russian/Chinese?
- Can you tell us something more about how you personally see these cultural differences in your daily work?
- What do you perceive as the qualifications that one should have in order to manage the cultural differences successfully?
- What has been done within your company in order to improve the understanding of cultural differences?
- Could you elaborate a bit more on typical prejudices that Finns/Russians/Chinese have about Chinese/Russians/Finns? Have they had any impact on cooperation?

The Third Round of Interviews Carried out Between (Fall 2007; A and B only)

Finally, in Companies A and B we deemed the challenges related to inter-unit knowledge and competence transfer to be particularly challenging from an organizational capability point of view and therefore did one more round of interviews in them focusing on the development of the key cross-border activities related to these challenges. Questions included the following, and interviewees were encouraged to give practical examples:

- How would you describe past experiences of your company which
 - a. enable your company's efforts in China/Russia today;
 - b. complicates your company's efforts in China/Russia;
 - c. can you tell us about the status of [specific projects in the respective companies]?
- Could you please tell us about the process whereby your company tries to (accomplish the specific projects)?
 - a. What are the mechanisms of knowledge articulation?

- b. Who interacts with whom? What kind of interactions?
- c. In what forums? Who is involved and how?
- d. What are the challenges?

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Accepted by Mary Yoko Brannen, Deputy Editor, 4 November 2013. This paper has been with the authors for one revision.